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Investor Presentation | Asia Pacific

China Industrials Mid-year Outlook

Capex should remain broadly strong across the sub-sectors we cover in 2H26. After the divergent stock performance in 1H26, we are selective on stocks based not only on sales and order momentum, but also on profitability, catalysts and valuation.

AlphaWise α

(+) Four key themes with stock ideas to highlight:

- AI infra structural growth intact, we prefer the “picks & shovels” -> Weichai-H, Han’s Laser.
- Humanoids in early commercialization with intensive catalysts -> Leaderdrive, Shuanghuan, Hengli Hydraulic.
- Beyond AI, a broadening capex upcycle -> Hongfa, Bochu, Wuxi Lead.
- Export strength -> Sany, Zoomlion, Hengli Hydraulic and Dingli.

(-) Our least-preferred areas remain traditional infrastructure contractors, railway equipment and solar manufacturing equipment ->CRRC, CSCEC, SC New Energy

Related reports:

- China Industrials Mid-year Outlook: Selective Stock Picks Amid Strong Capex Outlook

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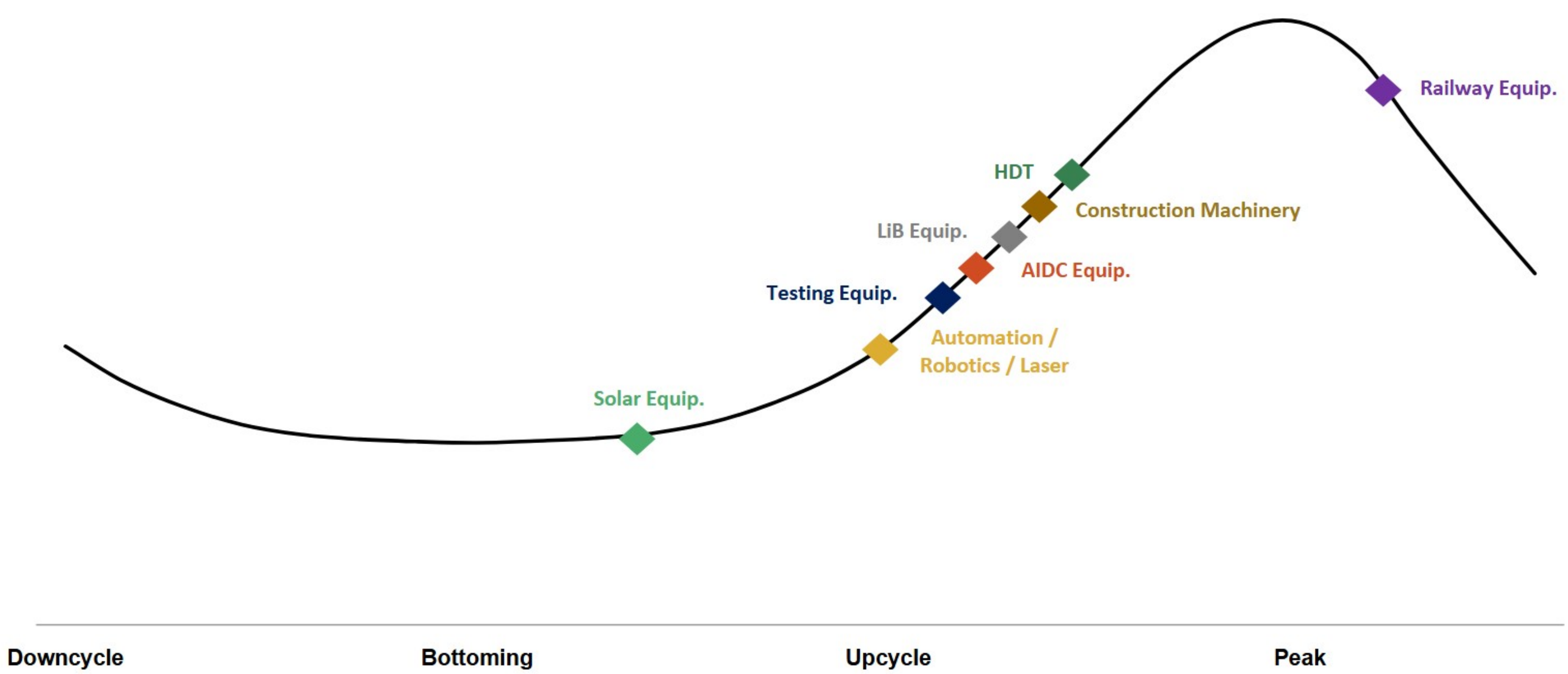
CHINA INDUSTRIALS

Asia Pacific

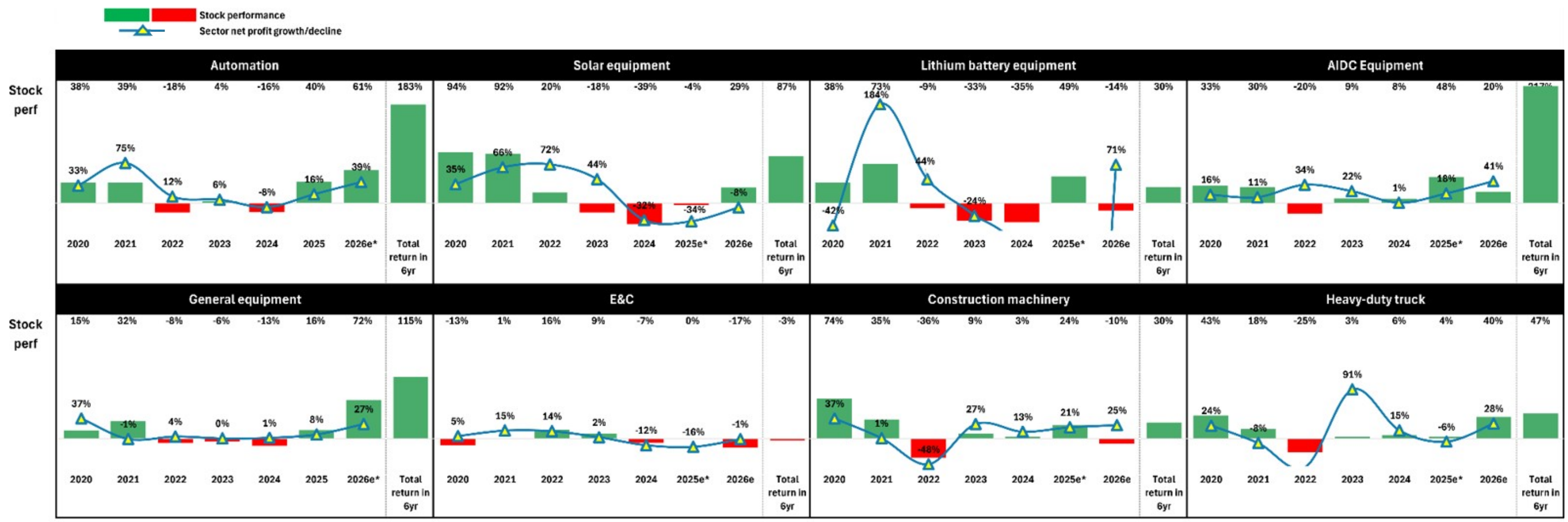
Industry View **In-Line**

Where Are We in the Cycle in China?



Source: Morgan Stanley Research

Sector Performance – Industry Net Profit Growth vs. Equity Performance

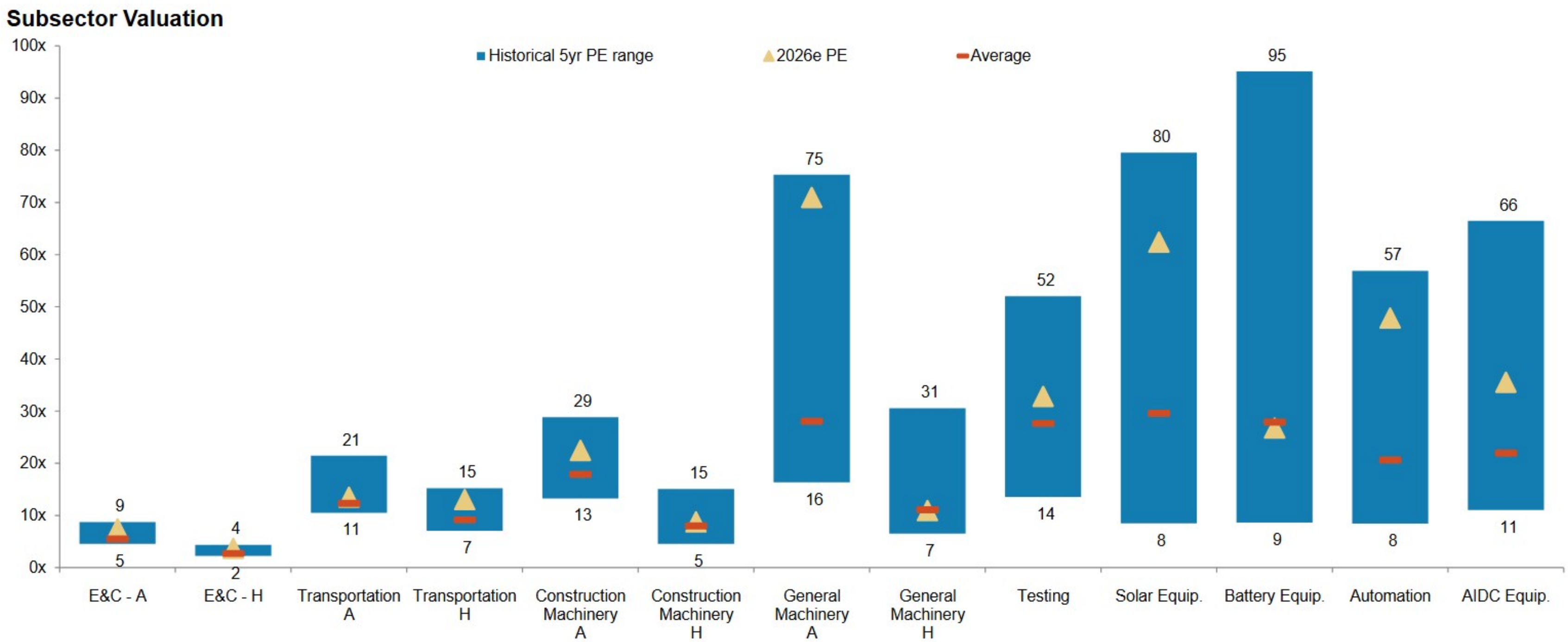


Note: 2026e* demonstrates consensus sector net profit growth and actual stock performance in YTD 2026 of each sector.

Source: Factset, Morgan Stanley Research. Note: 2026e* demonstrates consensus sector net profit growth and actual stock performance in YTD 2026 of each sector. Stock prices as of July 6, 2026.

Sector P/E Multiples

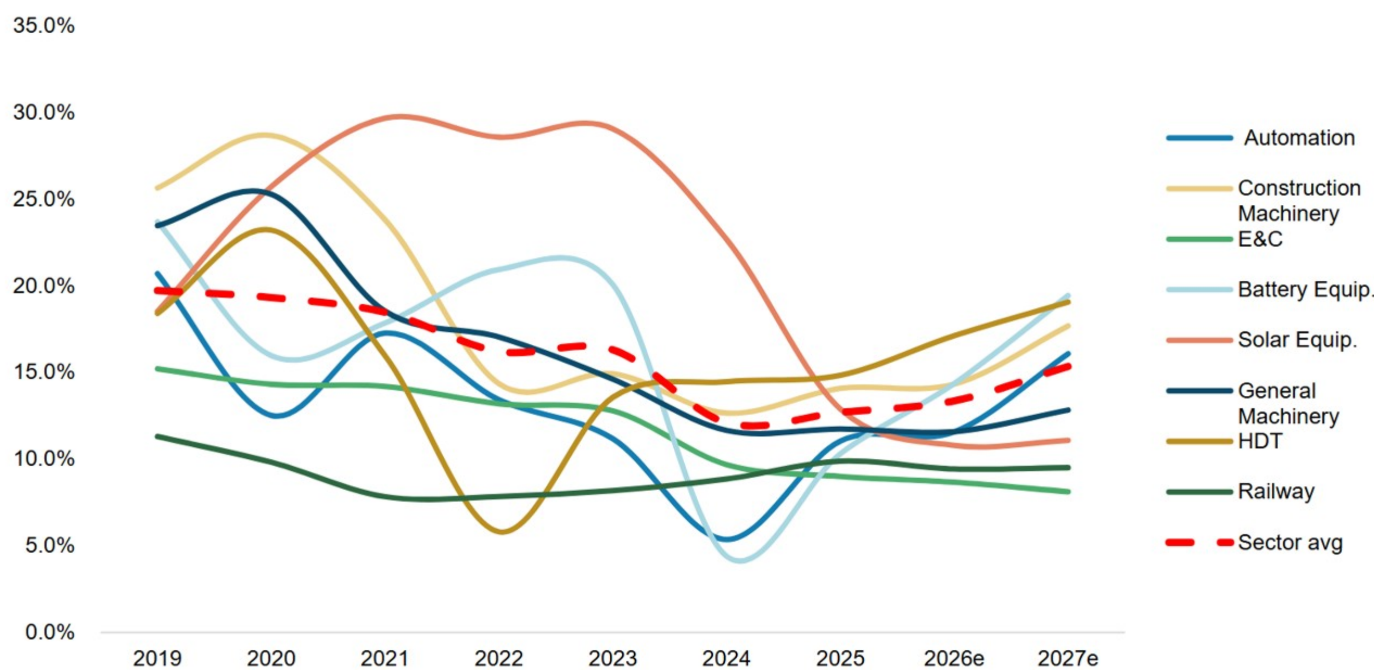
Sector trading P/E vs. past five-year range: Most segments are trading above their historical five-year average P/E multiples, reflecting the outlook for continuous industrial upgrades, going global and strong AI+ tailwinds



Source: Factset, Morgan Stanley Research. Stock price as of July 6, 2026. Note: E&C - Engineering and Construction.

ROE – Recovering from 2024 Level

We expect China's industrial companies' ROE to improve in 2026-27, supporting re-rating.



Source: Company data, Morgan Stanley Research estimates. Note: E&C - Engineering & Construction.

Automation, Robotics, AIDC and General Equipment

Automation – Upcycle Sustains in 2026-27 on Super Capex Cycle

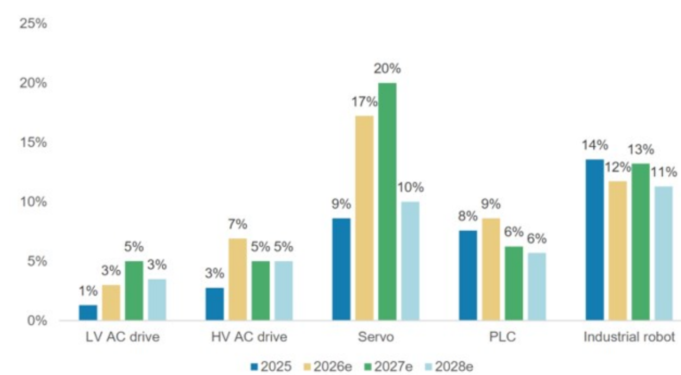
Automation demand is in an upcycle, with improving profitability among industrial enterprises (5M26: +19% y-y), supported by solid YTD order intake reflecting both a recovery in traditional downstream segments and strong growth in tech-driven industries.

We expect ~5% y-y growth in automation market in 2026 (vs. +1% y-y in 1Q26 based on MIR data), and the momentum to sustain into 2027, driven by broader AI/physical AI applications demand resilience (intelligent robots, PCB equipment, AI wearable and electronics, and AI embedded equipment), replacement demand as well as equipment companies' increasing export with enhanced competitiveness.

AI transformation has also become a central theme for automation companies, with leading players outlining strategies to deliver AI solutions and embodied-AI products. As well, overseas expansion efforts are ongoing and should become a long-term growth driver.

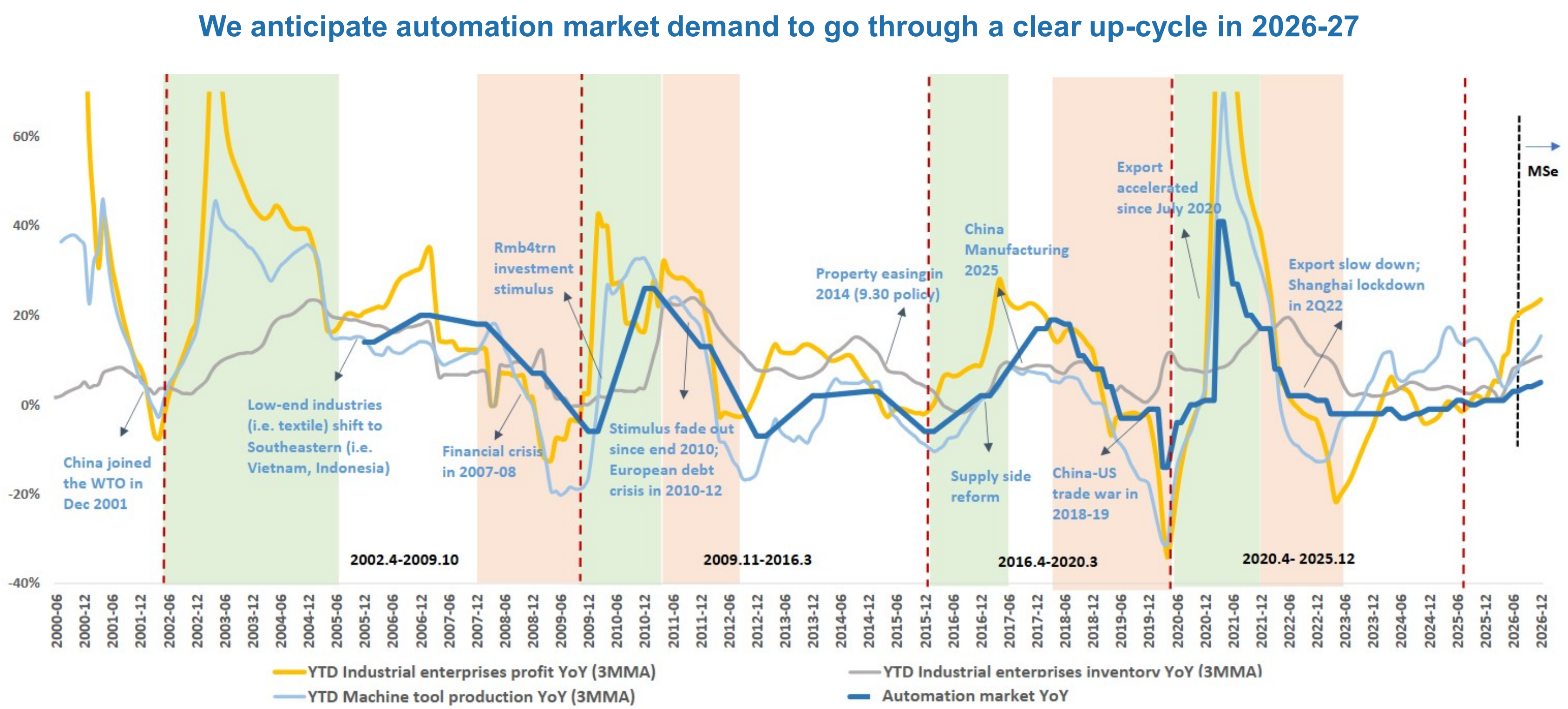
OEM market to grow faster with AI tailwind; project market to underperform due to downstream industries' overcapacity

Key automation products in 2026-27 servo and industrial robots growth will grow faster



Source: MIR, Morgan Stanley Research. e= MIR estimates.

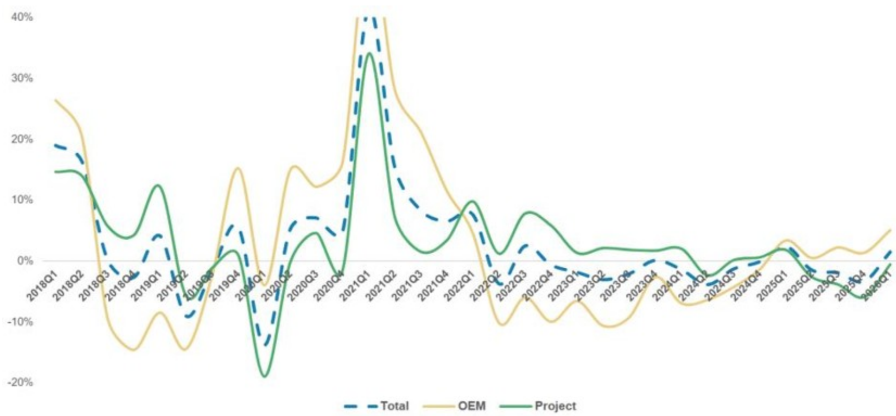
Automation – A Clear Up-cycle in 2026-27



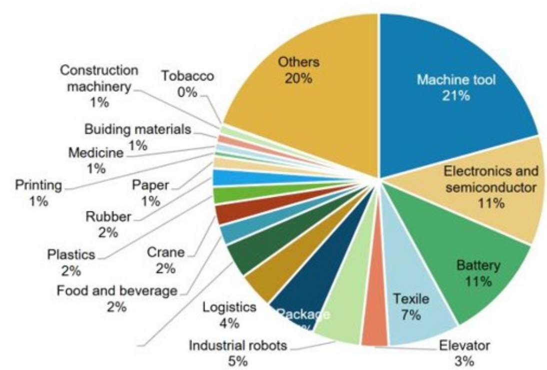
Source: NBS, Morgan Stanley Research estimates (MSe).

Automation Market Update: OEM Continued to Outperform

China's automation market added 1% y-y in 1Q26 (vs. -3% in 4Q25) driven by OEM market



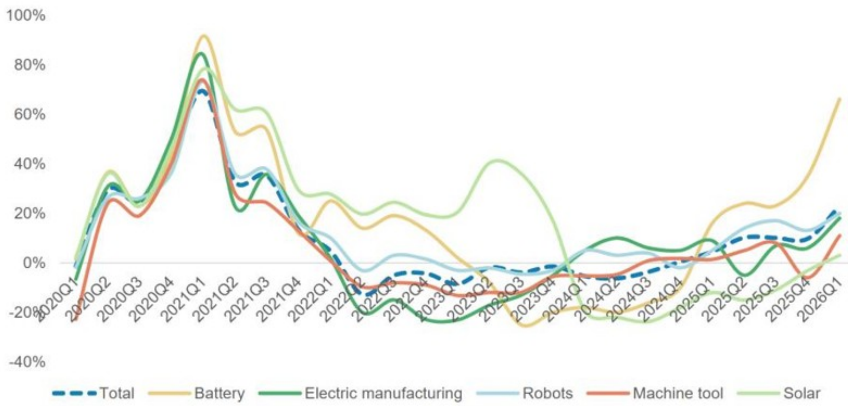
China's automation OEM market by downstream segment, in 1Q26



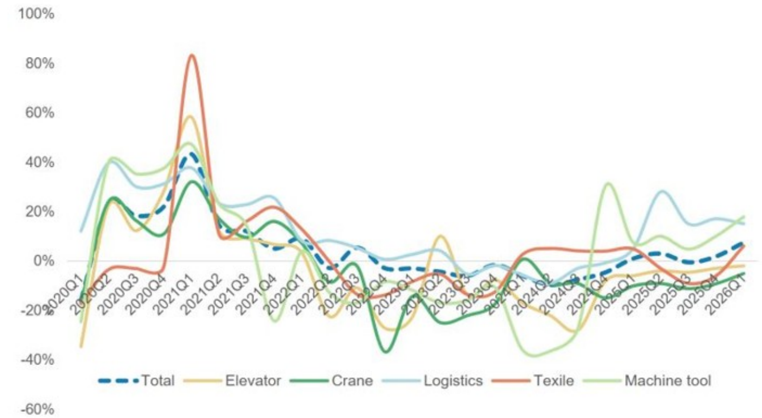
Source: MIR, Morgan Stanley Research.

Automation Market Update: Key Products Sales Held Up Well; Localization Sustained

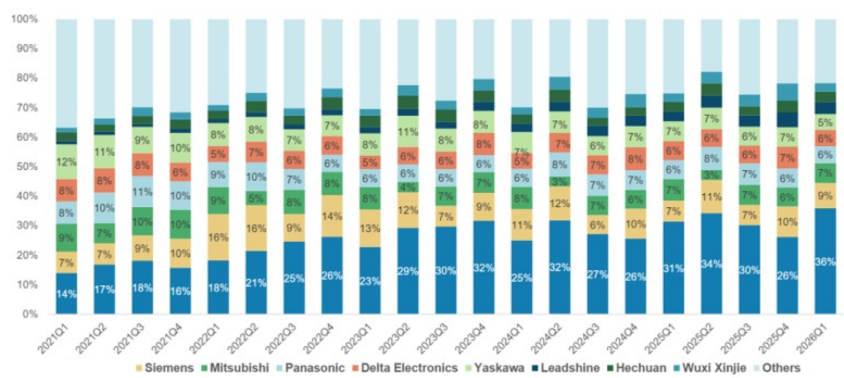
Servo market: 1Q26 grew 23% y-y, supported by battery, electronics and robots



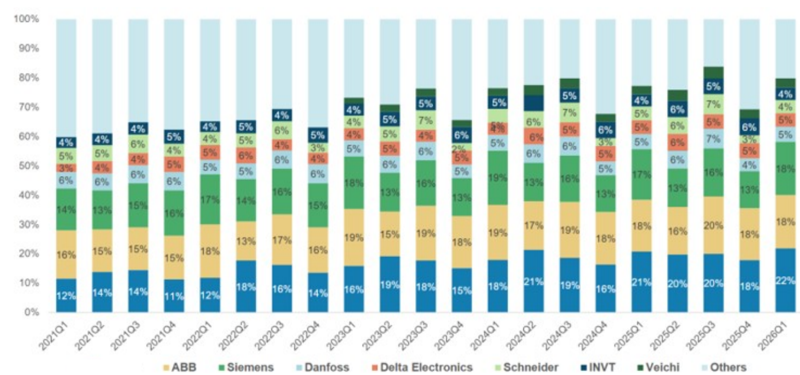
LV AC drive market: 1Q26 grew 8% y-y, among which logistics and machine tool outperformed



Servo market: Localization rate reached 60% in 1Q26



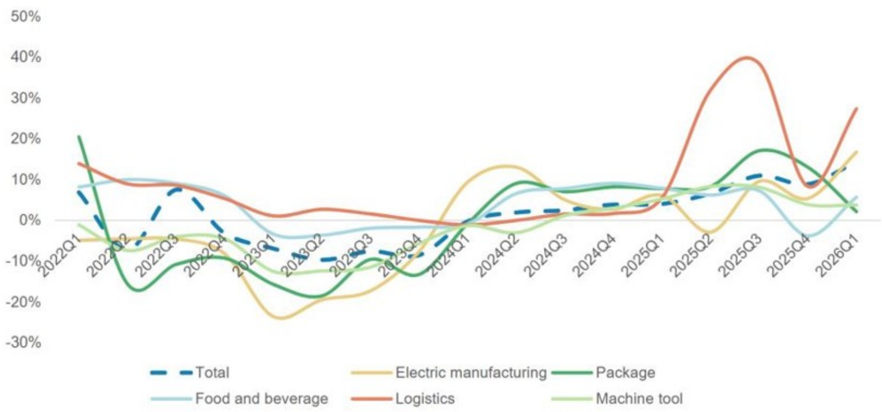
LV AC drive market: Localization rate reached 38% in 1Q26



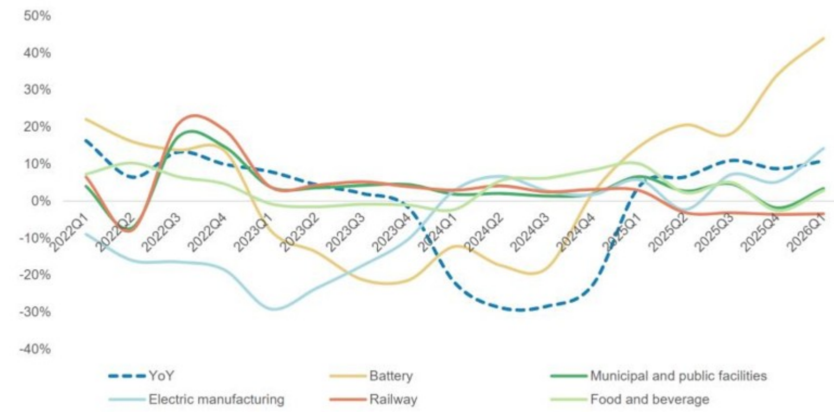
Source: MIR, Morgan Stanley Research.

Automation Market Update: Key Products Sales Held Up Well; Localization Sustained

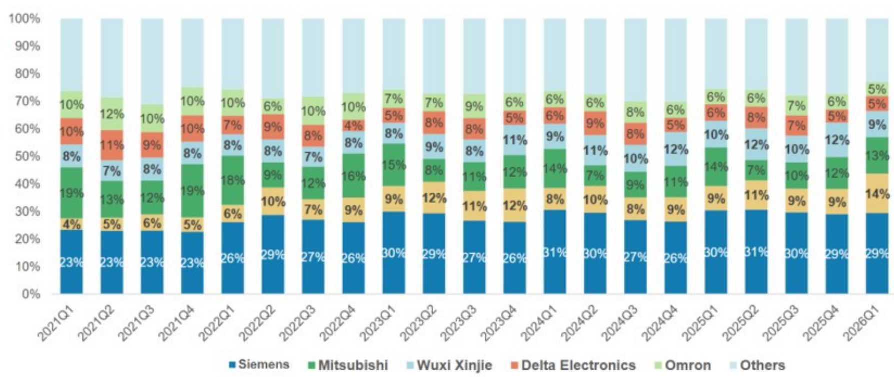
Small PLC market grew 14% y-y in 1Q26, supported by logistics, electronics, battery



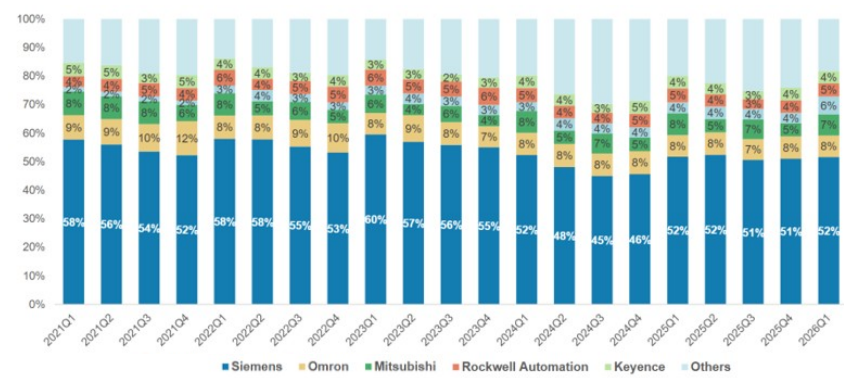
Mid-large-sized PLC sales grew 11% y-y in 1Q26, supported by battery and electronics



China's small PLC market: Localization rate reached 36% in 1Q26



China's mid-large PLC market: Local brands share is still low



Source: MIR, Morgan Stanley Research.

Localization: Leading Players Will Likely Continue to Gain Market Share, with Higher Value for Price vs. Global Brands

A continuously diversifying supply chain, on-shore/near-shore production globally

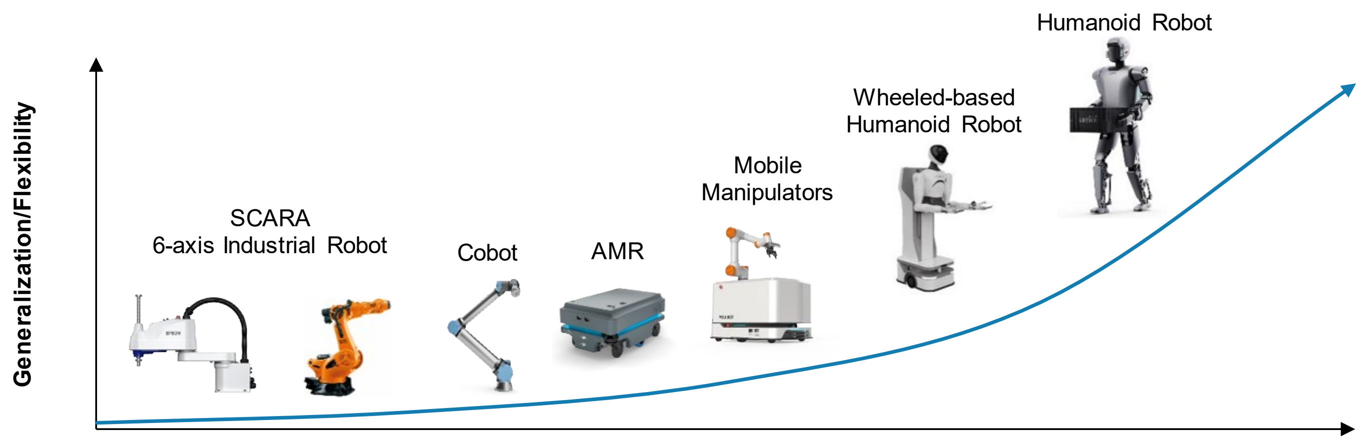
- Supply-chain diversification will put pressure on TAM growth.
- We believe China will further support local manufacturing upgrades and more localized high-end manufacturing, equipment and materials.
- We expect lower domestic TAM growth ahead, but high market share for the domestic players in the China market for most industries.

	China TAM (Rmb bn)		Localization rate	
	TAM in 2023, 2017-23 CAGR	TAM in 2030e, 2024-30 CAGR	2025	2030e
Automation*	Rmb182bn, 5% CAGR	Rmb260bn, 4% CAGR	40%	60-70%
Industrial robotics	Rmb55bn, 14% CAGR	Rmb75bn, 6% CAGR	55%	70-80%
RV reducers	Rmb3.2bn, 27% CAGR	Rmb5.0bn, 9% CAGR	40%	60%
Harmonic reducers	Rmb1.7bn, 22% CAGR	Rmb4.3bn, 8% CAGR	55%	70-80%
Hydraulics**	Rmb43bn, 5% CAGR	Rmb71bn, 7% CAGR	35%	50-60%
Construction machinery	Rmb470bn, 3% CAGR	Rmb860bn, 10% CAGR	90%	90-95%
LiB equipment	Rmb62bn, 23% CAGR	Rmb93bn, 6% CAGR	97%	Close to 100%
Solar equipment	Rmb110bn, 30% CAGR	Rmb165bn, 6% CAGR	97%	Close to 100%

Source: CCMA, CAAM, MIR, GGII, NBS, CPIA, China Laser Development Report 2022. Morgan Stanley Research estimates. *Automation excludes industrial software; **High-end hydraulics only, which represents 50% of the total hydraulics market based on our checks with Hengli.

Robots Are Evolving, Will Become More Intelligent and Mobile

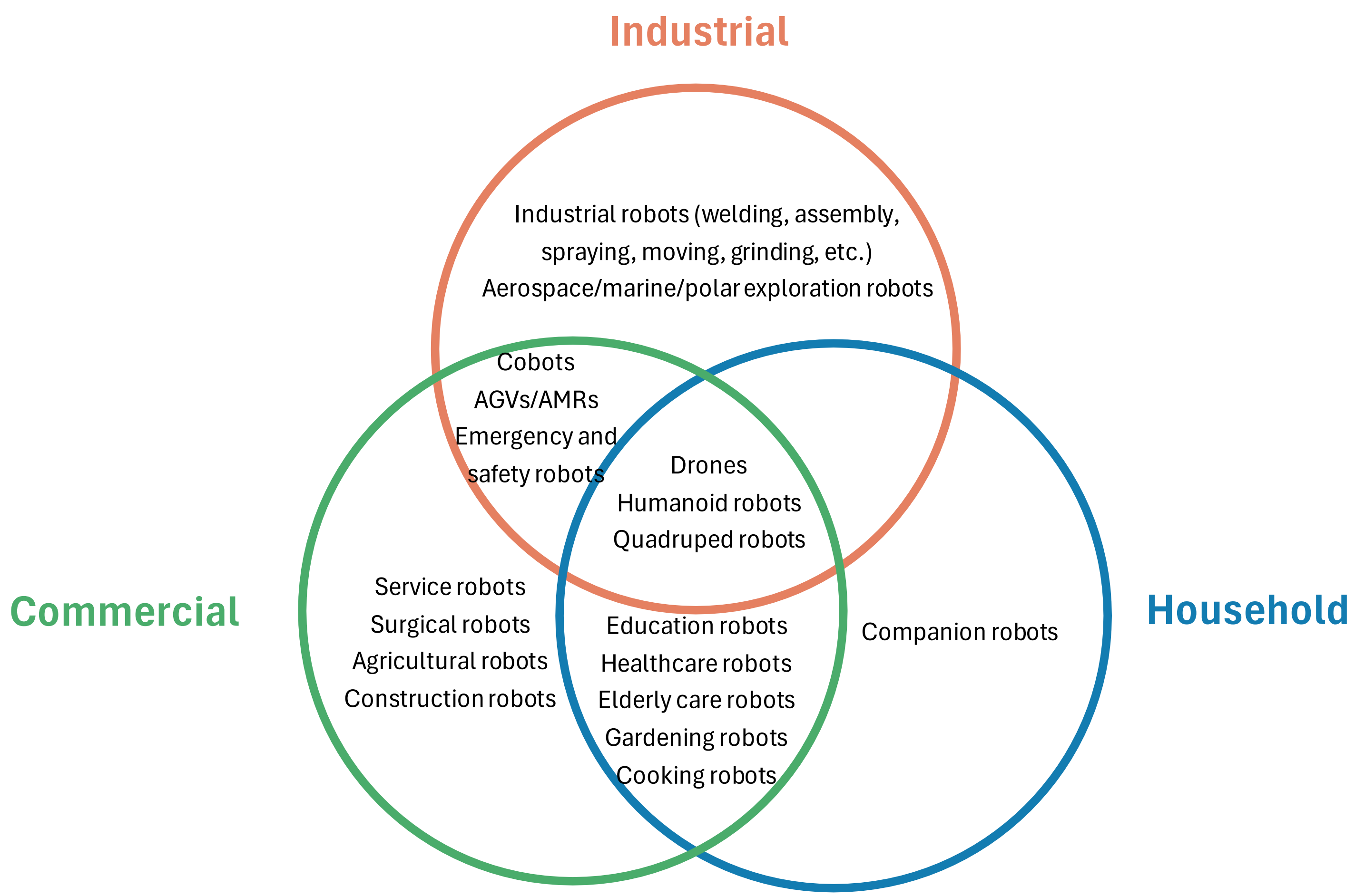
This is shaping up to be a breakthrough year for the robotics industry, as mobility paired with intelligence is expanding new use cases



	Before 2010	2010-2025	2025-2030	After 2030
	Fixed Function Task Automation	**Intelligence-enhanced Robots**	**Advanced Intelligence**	**Generalized Intelligence**
Key Tech Features	Fixed task automation No sensors	SLAM navigation Motion control	Large multimodal model VLA, reinforcement learning	AGI, generalization High automony
Key product	SCARA, Industrial Robots, AGVs	Cobots with 6 axes or more, AMRs	Wheeled-based Humanoid Robots, Mobile Manipulators, ToB Humanoids Robots	ToB / ToC Humanoid Robots

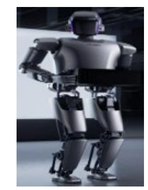
Source: SEERS, CIC, Morgan Stanley Research

Robots Will Soon Be Everywhere



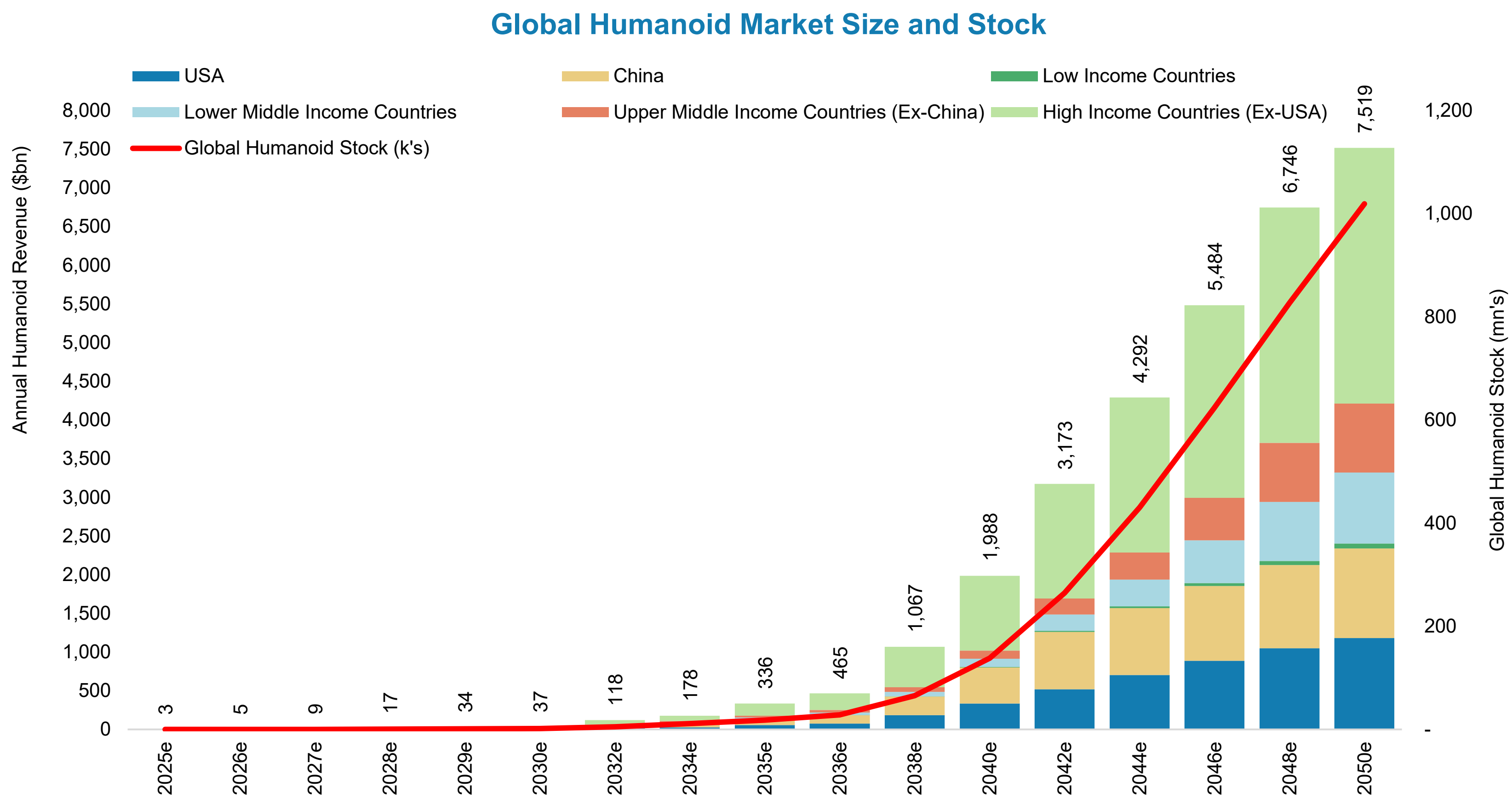
Source: Morgan Stanley Research

Robotics Family at a Glance

	Traditional industrial robot		Cobot	Mobile robot		Service robot	Drone	Humanoid robot
	Articulated robot	SCARA robot (Selective Compliance Assembly Robot Arm)		AGV (Automated Guided Vehicle)	AMR (Autonomous Mobile Robot)			
Definition	A robot with mulltiple rotary joints (typically 4-6 axes) is applicable in most manufacturing tasks.	SCARA robot is optimized for high-speed and high-precision task, with compact design, but less versatile with normally 4 axes.	Cobot is designed to interact and collaborate directly with humans in shared workspace, often equipped with safety detector.	Unmanned vechicles that move along pre-set guidance path	Unmanned vehicles capable of perceiving, navigating, planning path and avoding obstacles autonomously	A robot that perform non-industrial tasks to assist humans in commercial settings	Autonomous or remotely controlled aerial vehicle with camera/delivery module	A robot that has maximum flexibility and universality by mimicking human form and movement
Design								
Key Players	FANUC, ABB, YASKAWA, KUKA, ESTUN, INOVANCE	EPSON, YAMAHA ROBOTICS, DELTA	JAKA, AUBO, ROKAE, DOBOT, UNIVERSAL ROBOTS	HIKROBOT, RAYPLE, DAIFUKU, HAI ROBOTICS	IPLUSMOBOT, YOUIBOT 优艾智合, KUKA, Geek+	PUDU, roborock, Segway-Ninebot, ECOVACS	dji, Parrot, YUNEEC, AV	TESLA, UBTECH, UNITREE, FIGURE
Key applications	To B	To B	To B/To C	To B	To B	To C/To Household	To B/To C/To Household	To B/To C/To Household

Source: Morgan Stanley Research

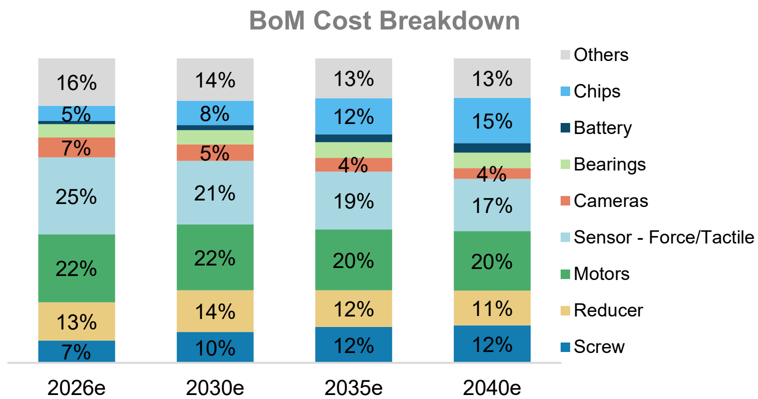
Humanoid Robotics – The Largest Embodied AI Opportunity; 1bn Stock and US$7.5tn TAM by 2050e



Source: Morgan Stanley Research estimates. Note: This humanoid sales to external parties, we acknowledge and do not include prototype, internal R&D, and use.

Hardware BoM Breakdown

Key components include screws, reducers, motors and sensors



Combining demand from other robots, components are set for exponential growth

84x
US$268bn
Camera

370x
US$316bn
Bearings

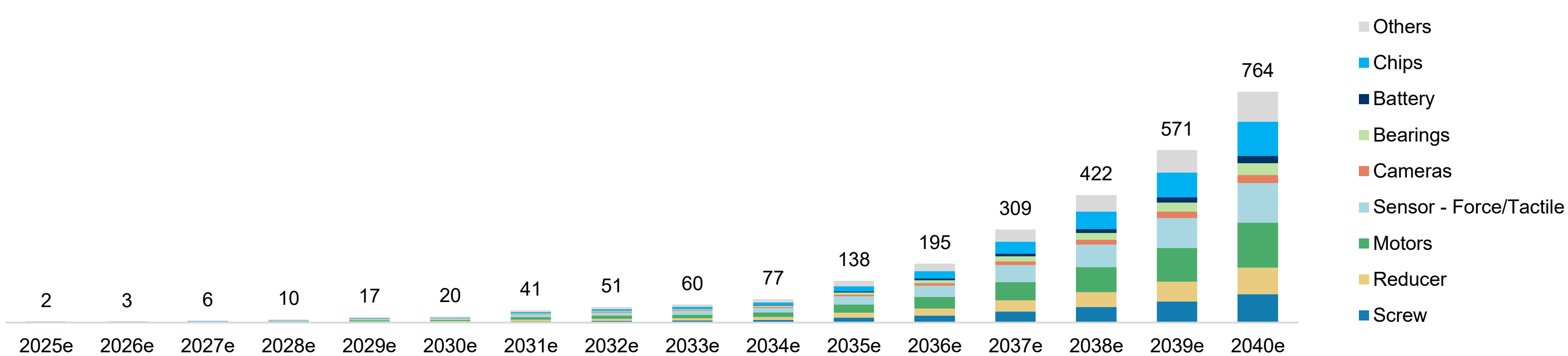
40x
US$128bn
LiDAR

155x
US$1,343bn
Reducer

170x
US$2,074bn
Motor

1,906x
US$1,234bn
Edge Compute

The global component market is projected to have

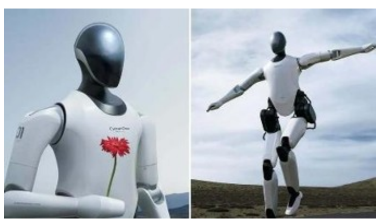


Source: Morgan Stanley Research estimates. Note: The market size of the different components are as of 2050e; the multiple represents the difference compared to the 2025e market size.

Zooming in to China Humanoids: 2026, an Initial Small-scale Commercialization

Early 2020s - Prototypes

Ubtech Walker X (2021)



Xiaomi CyberOne (2022)

2024 Static Showcase/Demo

A Series of Humanoids
demo at WAIC 2024

Unitree G1
Selling at US$16k

2025: Advancement in Locomotion, Initial Production

Unitree H1 performance
at China New Year Gala 2025

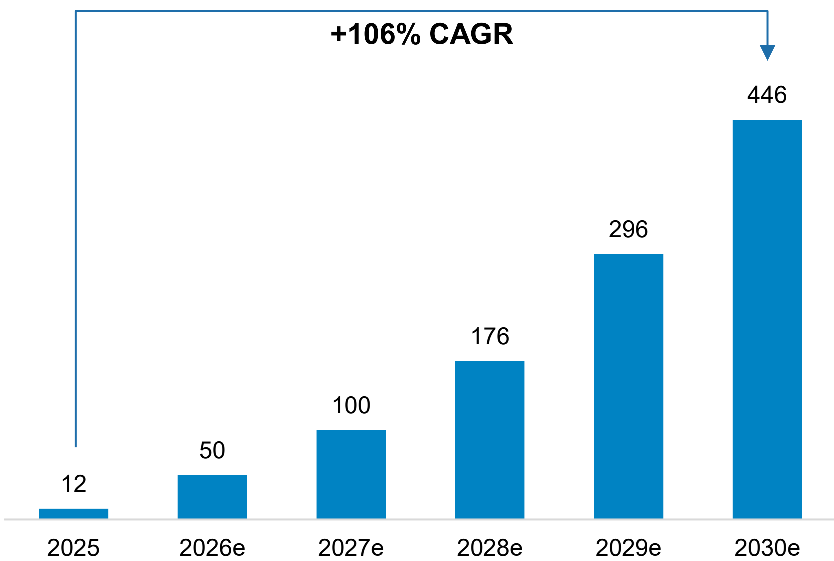
China humanoid shipments
exceeded 10k units

2026: Pilot deployment

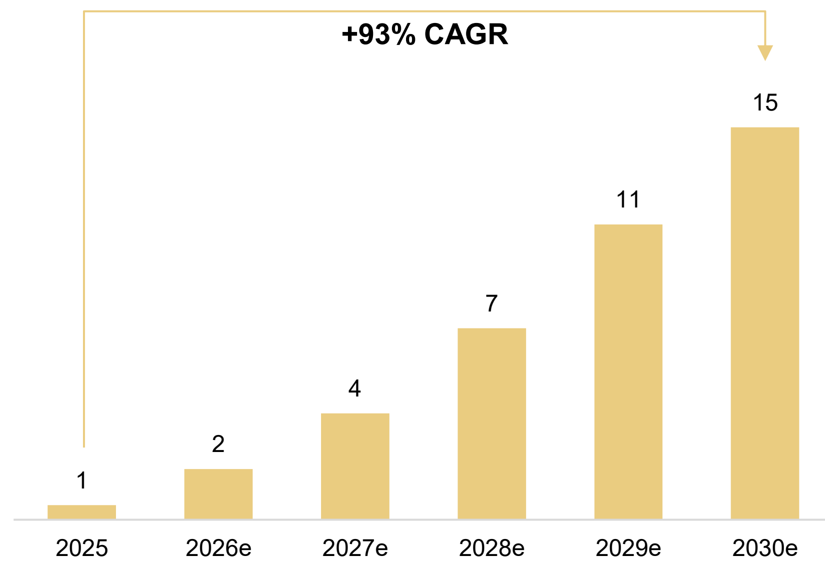
Source: Morgan Stanley Research.

2026 Marks the Start of Humanoid Commercialization in China; We Expect 50k Shipments, Growing 9x Over the Next Five Years

China Humanoid Sales ('k unit)



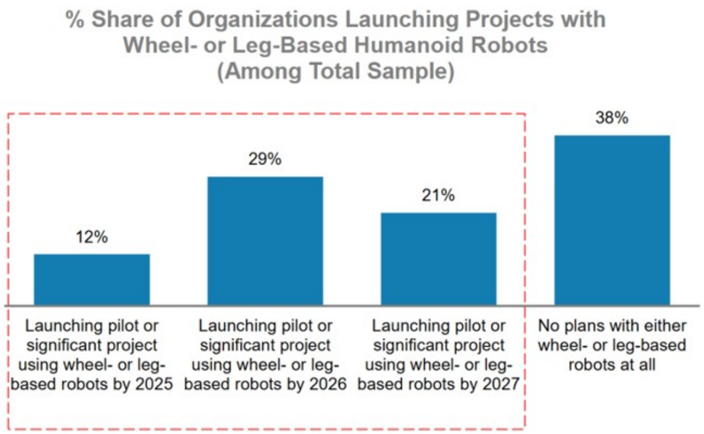
China Humanoid Market Size (US$'bn)



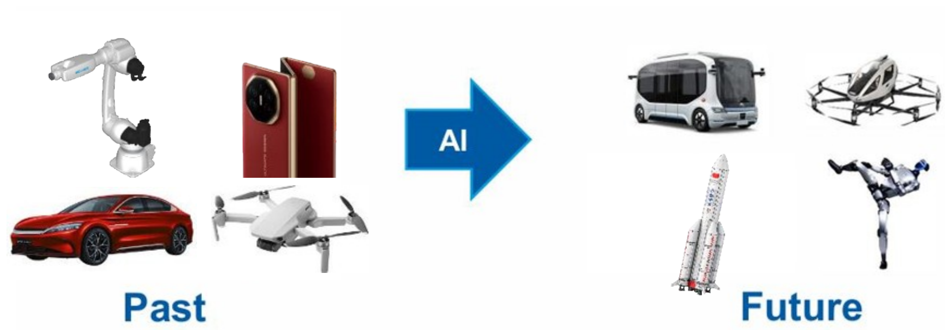
Source: Morgan Stanley Research estimates. Note: This humanoid sales to external parties, we acknowledge and do not include prototype, internal R&D and use.

Multiple Factors Driving China's Leadership in Humanoids/Robots

Our AlphaWise survey indicates strong adoption willingness amid the industry's early stage, supporting the rapid use case verification process and initial adoption



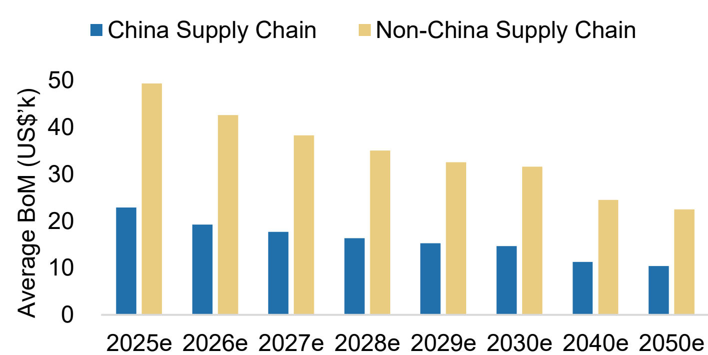
Manufacturing know-how is being converted to robots



Ecosystem – Support from upstream to downstream

- **Supply chain:** Our checks indicate integrators use mostly local components, except for chips.
- **Rich data:** China's diverse manufacturing scenarios provide fuel for robot model fast iteration.

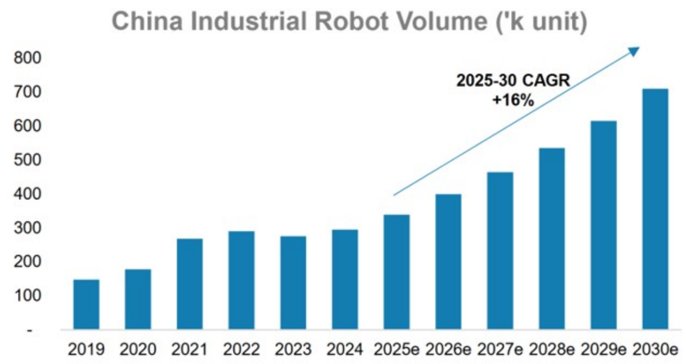
Significant cost advantage vs. non-China supply chain



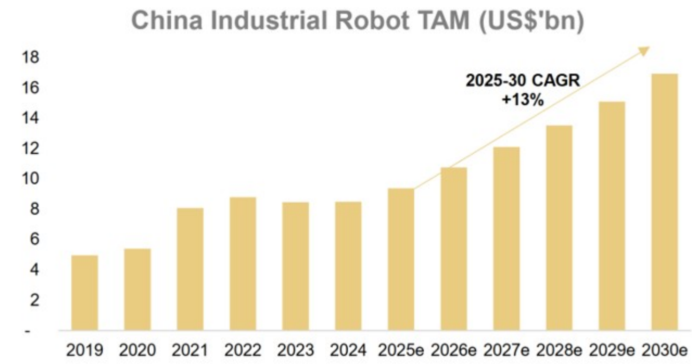
Source: AlphaWise, (Total respondents n=86), Morgan Stanley Research estimates.

Industrial Robot Update: Growth Momentum Sustained

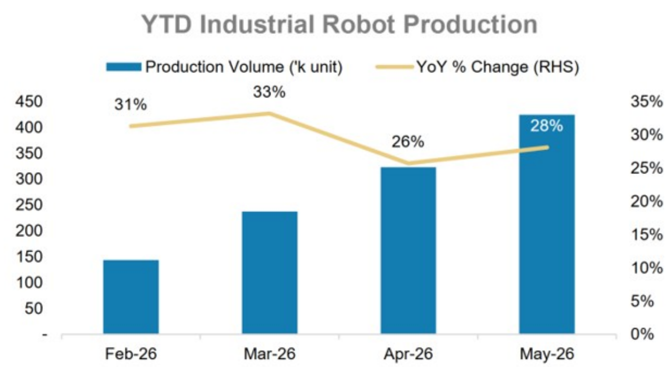
We are more optimistic on China industrial robot shipment, expecting +18% YoY growth in 2026 (vs. MIR's estimate of +12%)...



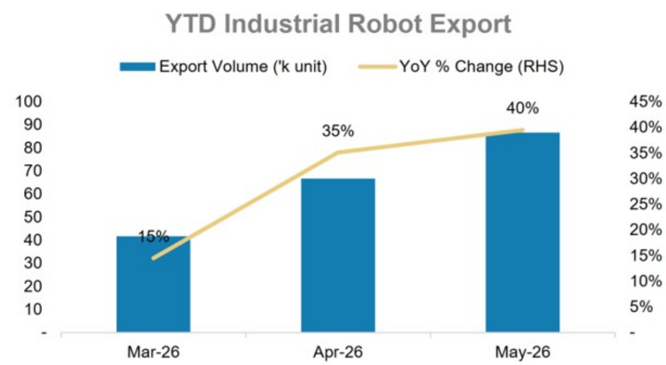
...Implying a US$11bn market in 2026e and US$17bn by 2030e



China industrial robot production growth maintains robust…



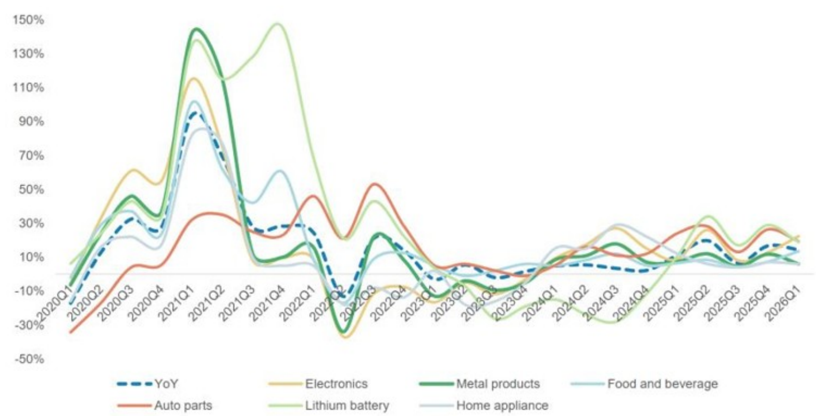
…and export accelerates in May



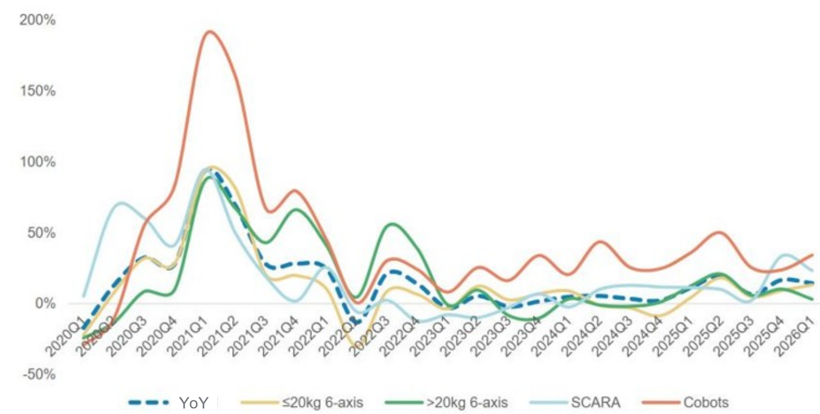
Source: MIR, Morgan Stanley Research estimates.

Industrial Robot Update: Growth Momentum Sustained

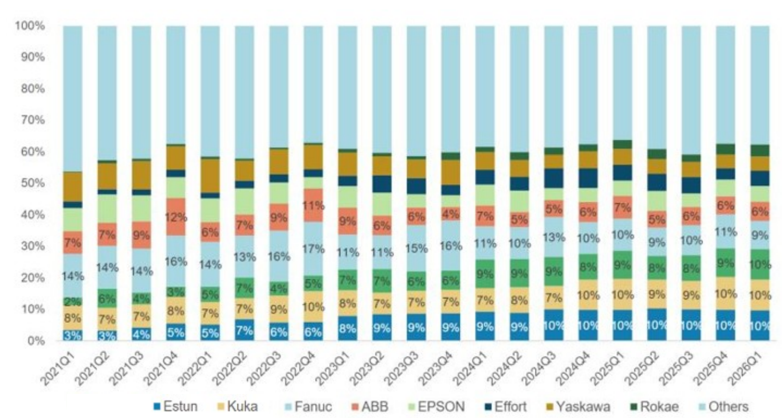
The growth in robot shipments in 1Q26 was supported by battery, electronics, auto parts



In 1Q26, industrial robots shipment grew 14% y-y, by product, SCARA and cobots outperformed with 23% and 34% y-y growth



China's industrial robots market share dynamics – Localization rate reached 56% in 1Q26



Source: MIR, Morgan Stanley Research.

AIDC Equipment – Global AI Capex Supercycle Remains in Full Swing

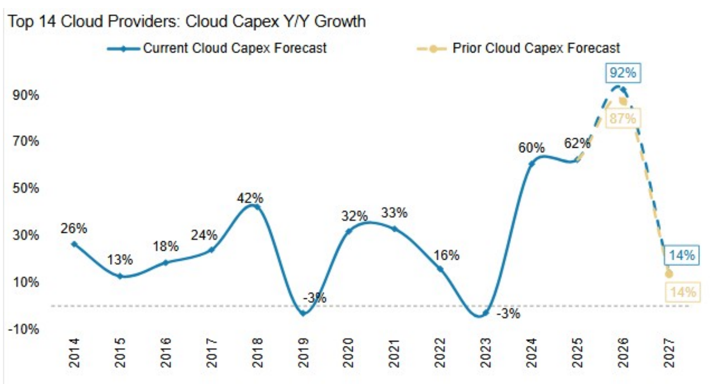
Global AI capex has experienced exceptionally strong momentum since 2025, and we expect this to continue heading into 2026.

- Our US team's latest cloud capex tracker estimates about **US$916bn in cloud capex spending in 2026 from the top 14** listed global cloud service providers, up 92% y-y.
- In China specifically, AI capex growth is also robust with the top 6 Chinese companies' annual capex projected to exceed Rm600bn/Rmb700bn in 2026/27.
- The outlook for AI chip shipments remains optimistic, including both AI GPUs (Our Taiwan semi team continues to forecast 70-80k GB200/300 racks in 2026) and ASIC.

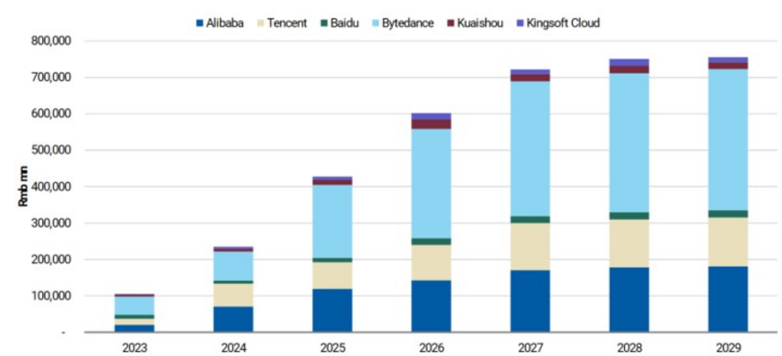
The rapid product iteration is pushing equipment upgrade much faster, generating new equipment demand. For instance, in Rubin rack BOM, PCB content value shows biggest increase (+233%) vs. GB300, with the introduction of new modules (ConnectX module and midplane PCB).

We believe the rising exposure to high-value AI-related revenue should lift those equipment companies' margins over the medium term, supporting ROE improvement.

MS cloud capex tracker points to 92% y-y growth in 2026 to US$916bn, up 5ppt from a month ago, with 2027 likely understated at +14% y-y



Chinese hyperscalers' AI capex stays robust with ~40% y-y growth in 2026 and ~20% y-y in 2027

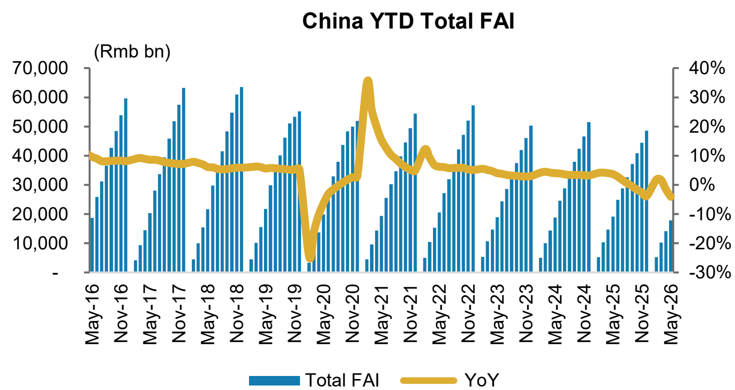


Source: MIR, Morgan Stanley Research. e= MIR estimates.

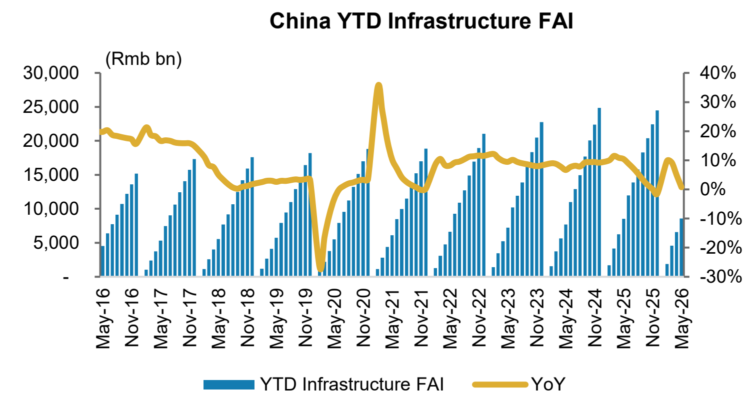
Infrastructure Construction, Construction Machinery and Heavy-Duty Trucks

Fixed Asset Investment Remained Weak

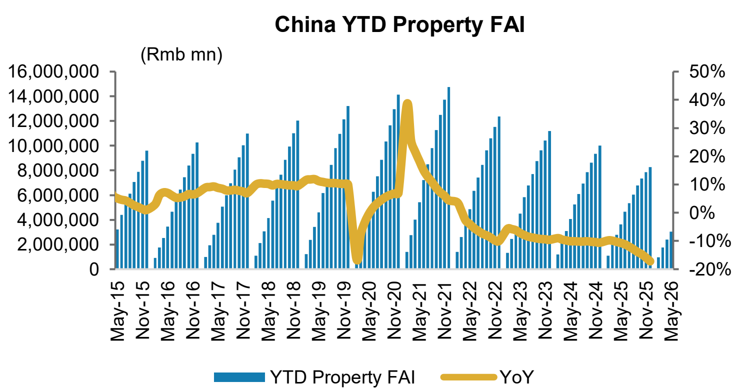
FAI May YoY slumped further (down 2.7ppt to -10.7%)



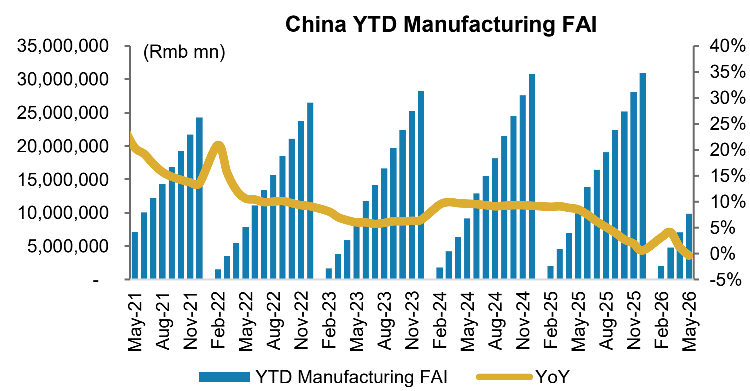
Key drag was slowed infrastructure push



Property rebound in doubt, capex continued slump



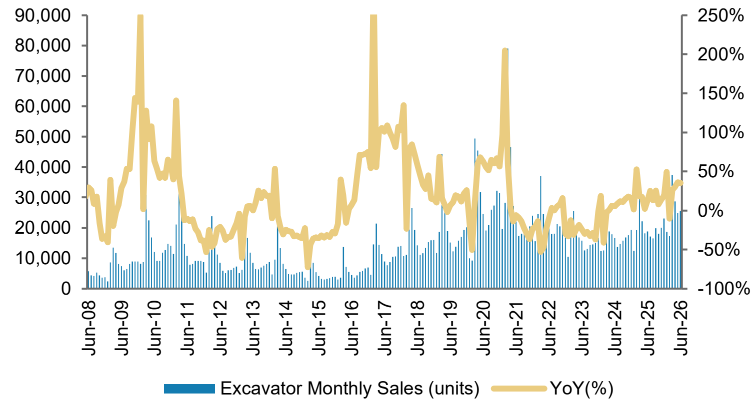
Mfg. capex remained weak despite export strength.



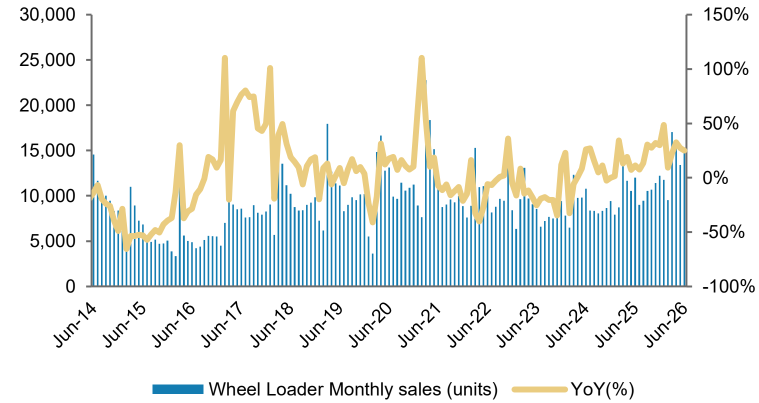
Source: NBS, Morgan Stanley Research.

China Construction Machinery Update

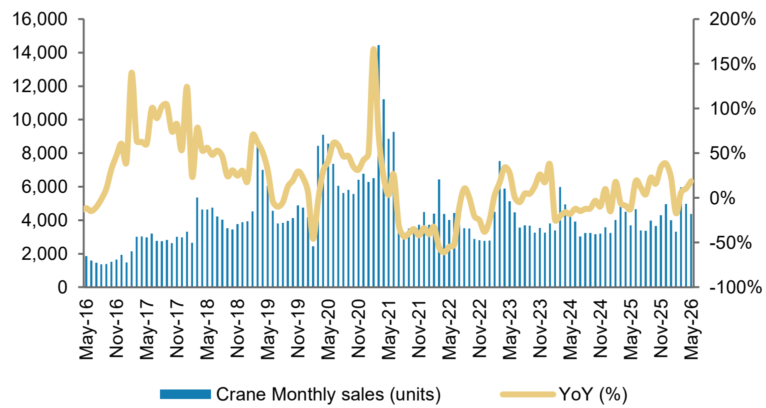
China's excavator sales increased 35% YoY in June



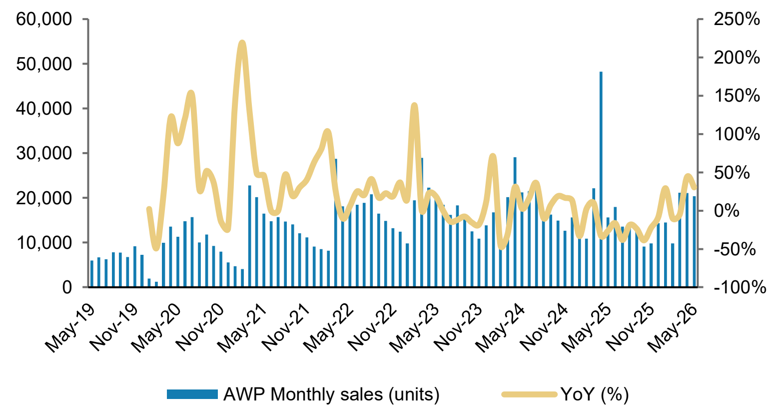
Wheel loader sales increased 25% in June



Crane sales increased 19% YoY in May

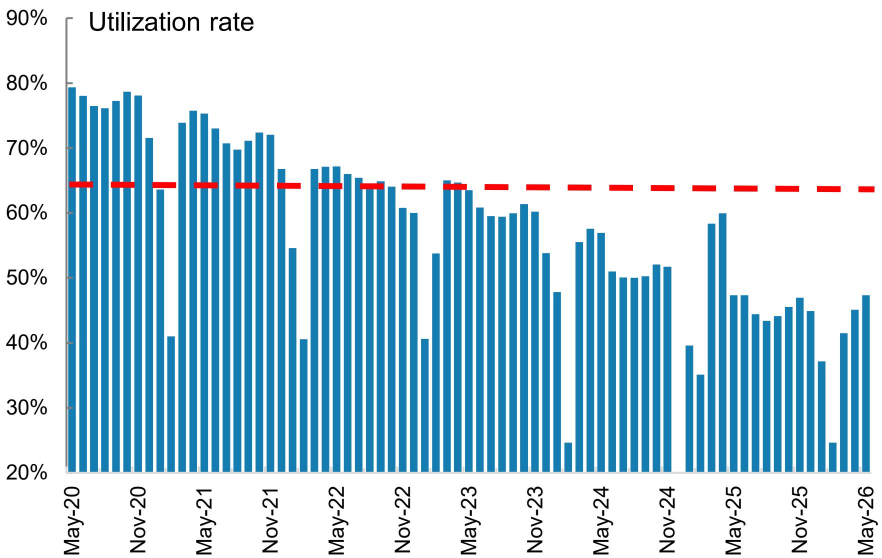


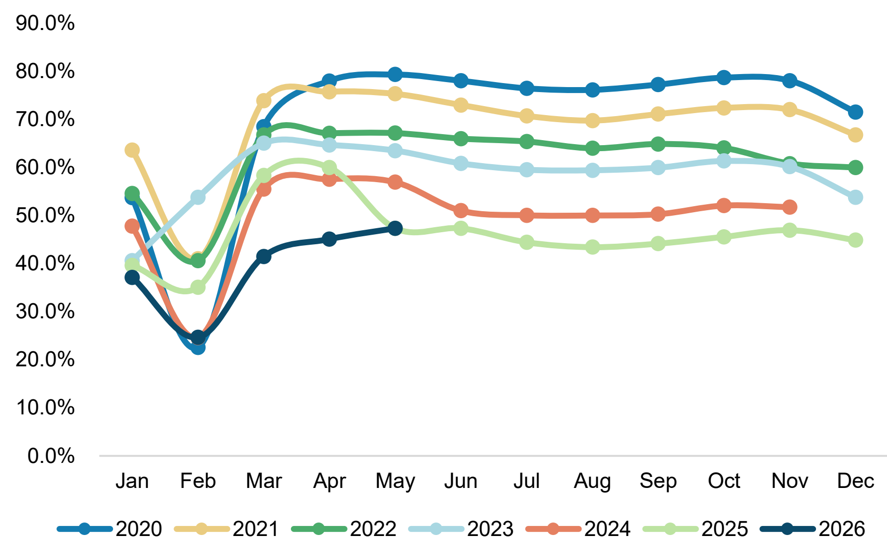
AWP sales increased 30% in May



Source: CCMA, Morgan Stanley Research.

China Construction Machinery Utilization





Source: CCTV, Morgan Stanley Research.

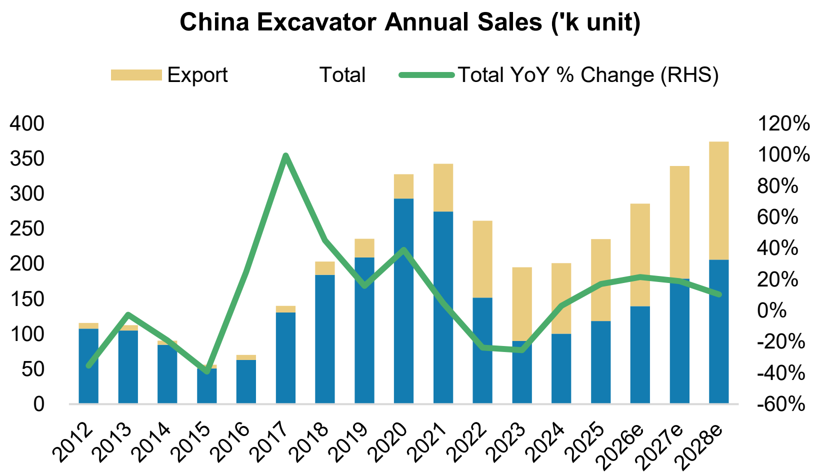
Construction Machinery: Upcycle Ahead

We revised up our China excavator forecast to +21% YoY in 2026 (from previous +15%).

Recent strong industry data reaffirmed our thesis of a domestic upcycle, supported by:

1) **Replacement demand** of the previous peak (2020-21), considering a typical 6-8 years lifecycle;
2) **Solid infrastructure investment**, our China economics team expect infrastructure investment to grow 8% YoY in 2026 (vs. 2025 -1.5%), with the newly planned Rmb800bn in policy-based financing instruments, Rmb500bn carried over from 2H25 (largely unused due to a lack of eligible projects), and front-loading and launch of key national strategic projects under the 15th Five-Year Plan, which helps alleviate the project pipeline bottleneck;
3) **Recent price hike** (including Sany Heavy, Zoomlion, XCMG, Shantui) could support sequential margin recovery in 2H26

China OEM global market share gain. Overseas growth is supported by demand recovery in developed markets (DM), ongoing urbanization in emerging markets (EM), strong mining demand amid higher commodity prices and continued market share gains by Chinese OEMs.



Source: CCMA, Morgan Stanley Research (E) estimates.

Heavy-duty Trucks (HDT) – Export Strength Is the Bright Spot

We raised 2026-27e HDT sales to 1.27mn and 1.3mn units, respectively, up 11% and 2% y-y.

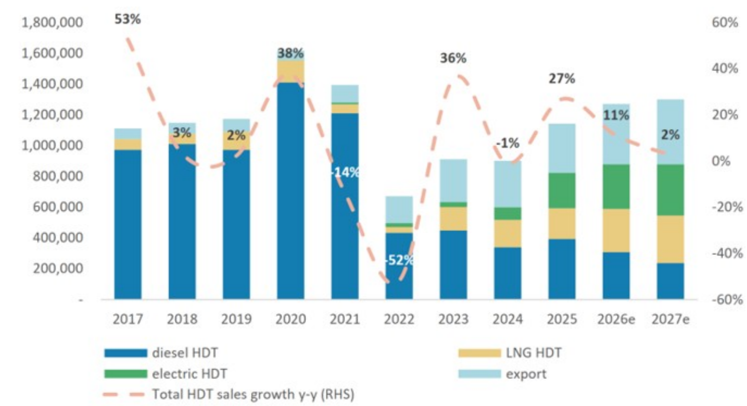
1H26 HDT market beat market expectation at 655k units, up ~21% y-y, supported by

1. Continued domestic subsidy stimulus,
2. Rising electric HDT penetration (1H electric HDT was up >60% y-y with ~30% penetration),
3. Robust export (1H was up ~25% y-y).

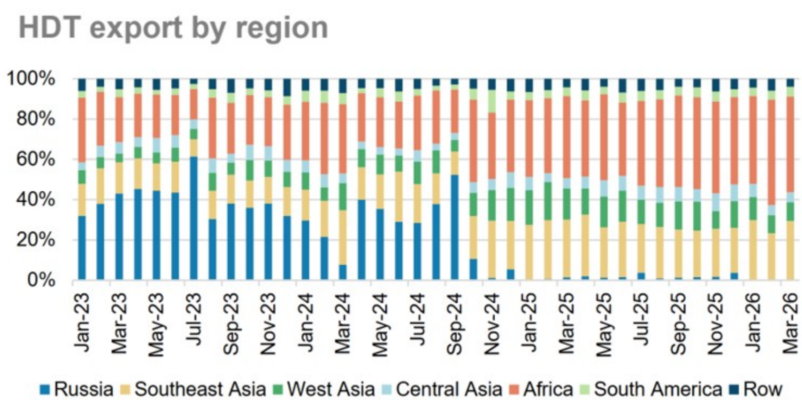
Heading into 2H26, we expect the overall growth to moderate off a high base, but the absolute numbers should stay at high level.

We expect mild increase in 2027 sales primarily supported by export robustness.

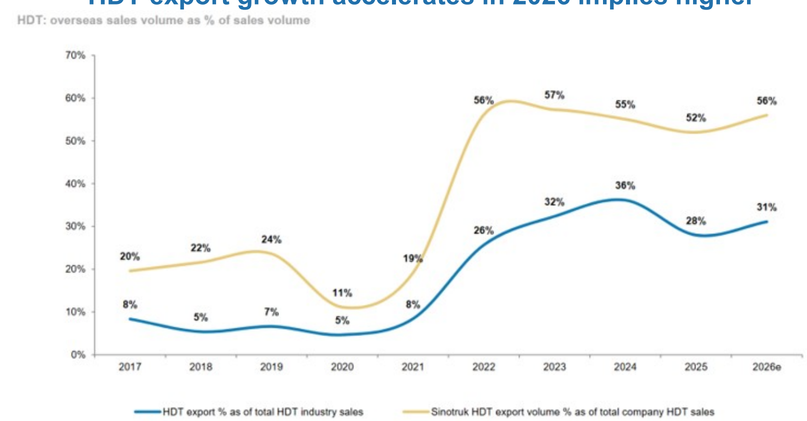
HDT forecast model - We expect ~11% y-y growth in 2026 to ~1.27mn units – domestic sales to grow 7% y-y and export to accelerate to 22% y-y



China's HDT exports by region - Strong momentum seen in Southeast Asia and Africa YTD



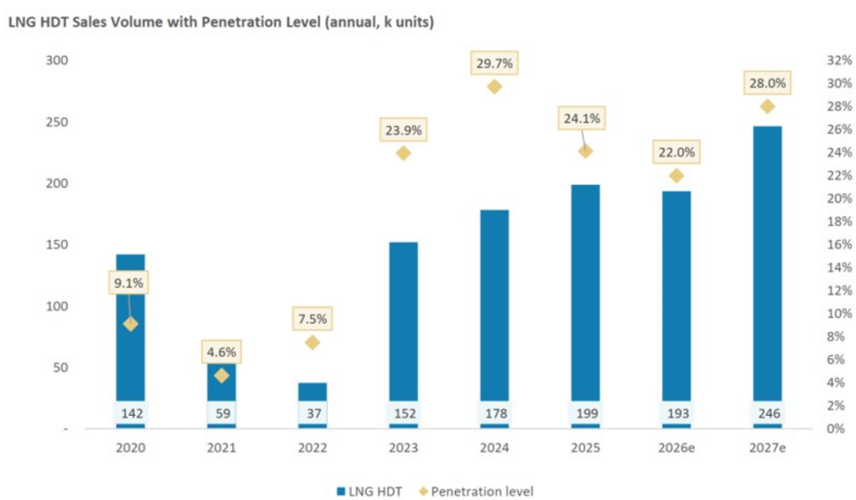
HDT export growth accelerates in 2026 implies higher



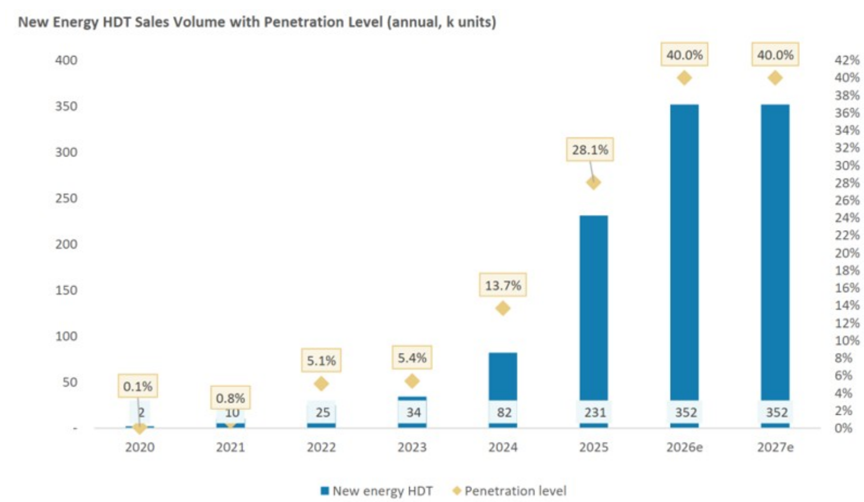
Source: CAAM, Morgan Stanley Research (e) estimates.

Heavy-duty Trucks: A Divergent Trend

LNG HDT penetration is expected to rise to 28% in 2026



Electric HDT penetration is expected to rise to 33% in 2026



Source: CAAM, CV World, Morgan Stanley Research. e = Morgan Stanley Research estimates.

New Energy Equipment

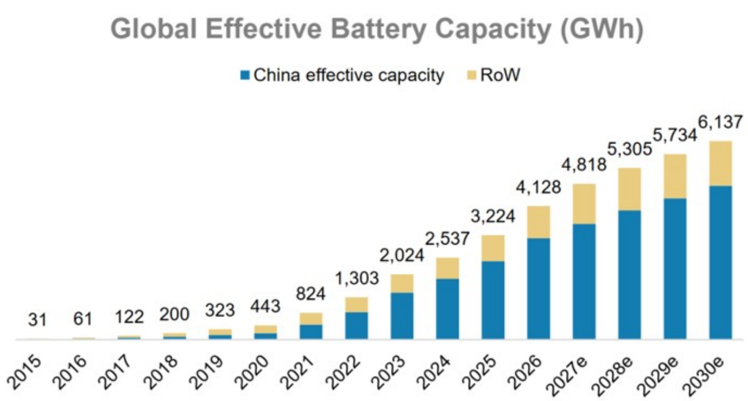
Lithium Battery Equipment – Structural Demand Should Outweigh Near-term Concerns

Concerns on battery equipment demand rising recently, mainly on weakening downstream demand (EV and ESS), and battery manufacturing capacity expansion plan. However, we remain constructive on the outlook.

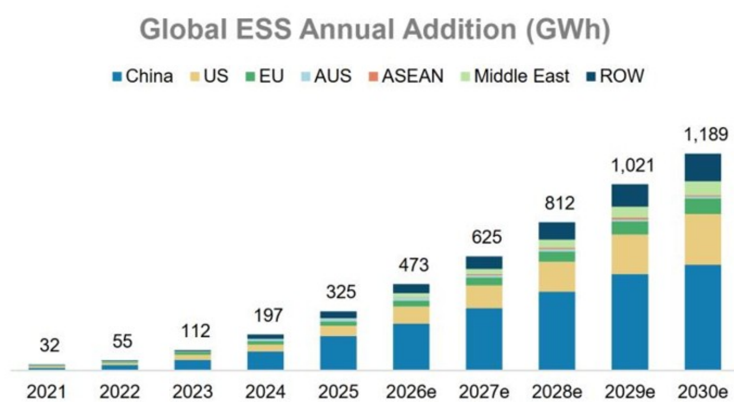
Multiple structural opportunities could outweigh the short-term drag, in our view. According to NBS, LiB battery manufacturing investment has grown 25% YoY in 5M26. For 2H26, we believe three structural demand drivers are converging simultaneously, supporting new order intake for battery equipment providers:

1. **Replacement cycle:** The large-scale capacity build since 2020 is approaching its five-year end of life, creating visible, non-discretionary baseline demand.
2. **Sodium-ion battery commercialization,** to scale from the pilot stage today to an annual global market of 830GWh by 2030 and 2.4TWh by 2035.
3. **Global ESS buildout:** The global ESS opportunity is sized at 5TWh by 2030 vs. ~1TWh currently, representing a 46% CAGR,

The China battery capacity is expected to expand by 14% CAGR over 2025-30e...



...Supported by the strong demand in ESS, which the global annual additional is expected to grow 30% CAGR over 2025-30e.



Source: Company data, Morgan Stanley Research (E) estimates.

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/06/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.30
China Railway Group (0390.HK)	E (08/11/2025)	HK$3.35
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.53
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb130.97
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb14.82
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb110.47
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb51.11
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb103.11
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb74.06
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK$12.02
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.28
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK$4.64
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.44
DR Laser (300776.SZ)	E (12/17/2021)	Rmb166.75
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb46.03
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK$19.70
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb38.00
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb15.25
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb117.50
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb48.20
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb453.98
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.89
Shenzhen Inovance Technology (300124.SZ)	++	Rmb68.33
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb67.99
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK$42.82
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb256.24
Times Electric (3898.HK)	E (01/22/2026)	HK$37.54
WeiChai Power (2338.HK)	O (03/30/2026)	HK$37.48
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb29.57
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb50.52
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb37.88
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb52.99
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb28.54
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb46.75
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK$7.10

Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.29

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* Historical prices are not split adjusted.